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Enron Corp.
Case No. EC-2002-01038
Doc No. EA0D37F1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
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Subject: Energy Issues

Please see the following articles:

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Sac Bee, Fri, 7/13: State lawmakers lobby for refund on energy purchases
Sac Bee, Fri, 7/13: Energy conflicts revealed
SD Union, Thurs, 7/12: Judge says California owed 'hundreds of millions of dollars' ■) not billions
SD Union, Thurs, 7/12: Southern California gas fights FERC over routine decision that may cost millions
LA Times, Fri, 7/13: Options Debated in Edison Rescue
LA Times, Fri, 7/13: Developer Pulls Plug on Power Plant in Chula Vista
LA Times, Fri, 7/13: Some State Energy Consultants Own Generators' Stock
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Nearly one-third earn rebates for cutting electricity use 20%
SF Chron, Fri, 7/13: Judge spells out opposition to power refund claim
Opinion says $8.9 billion in alleged overcharges for electricity 'cannot be substantiated'
SF Chron, Fri, 7/13: News briefs on the California power crisis
SF Chron, Fri, 7/13: Wholesale prices drop by largest amount in 28 months
Mercury News, Fri, 7/13: Power rebate generates shockingly high interest
Mercury News, Fri, 7/13: Settlement talks unsuccessful
OC Register, Fri, 7/13: Rate hike may hit businesses
Wash. Post, Fri, 7/13: Judge Rejects Power Refunds For California
WSJ, Fri, 7/13: Mediator Questions California 's Claims To Power Refunds

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Lawmakers vow a vote on Edison

By Kevin Yamamura and Emily Bazar
Bee Capitol Bureau
(Published July 13, 2001)

Facing a looming deadline and pressure from the governor, legislative leaders said Thursday they will push for a vote next week on a revised plan to save Southern California Edison from bankruptcy court.

Under competing proposals from each house of the state Legislature, large businesses would pay for the majority of Edison's $3.5 billion debt and power generators would be pressed to accept less than they are owed for past energy purchases.

A vote next week would come three months after Gov. Gray Davis first struck an agreement with Edison. His original arrangement would have the state purchase the company's transmission lines for $2.76 billion and use a portion of consumer rates to help pay off Edison's debt.

But lawmakers roundly criticized the Democratic governor's agreement in subsequent weeks and floated alternatives soon afterward. Lawmakers acknowledged that the latest alternatives are still under negotiation.

The governor's agreement with Edison has an Aug. 15 deadline, which falls toward the end of the Legislature's summer recess. Because the monthlong break is scheduled to begin next Friday, lawmakers plan to vote before then. The Assembly could vote on a proposal as early as Saturday.

Davis on Tuesday threatened to call a special session to keep legislators in Sacramento if they do not approve the Edison plan before the break. But Senate President Pro Tem John Burton, D-San Francisco, challenged that threat, saying, "Only the Legislature can keep the Legislature here."

Senate Democrats are studying a plan by Sen. Byron Sher, D-Palo Alto, that would have large businesses pay off most of Edison's debt and force generators to reduce by 30 percent the amount they are owed by the utility. That would leave about $1.2 billion in debt, for which Edison itself would be responsible without relying on ratepayers, Sher said.

His plan also gives the state the option to purchase Edison's transmission lines for book value -- less than half the price Davis offered to pay.

Burton said his house will vote on a version of Sher's proposal next week. Burton said he prefers Sher's version because large businesses and industrial users, not consumers or small businesses, would be responsible for paying the majority of Edison's debt. He reiterated that businesses were among the most ardent advocates for electricity deregulation.

"We're trying to do something legislatively that protects the people and isn't a bailout for the utility," Burton said. "I don't think it's fair that small users pay for any of (the debt)."

While the Senate toils over Sher's proposals, members of the Assembly are drafting their own version of a plan. Their version, too, would separate users into large and small categories, according to Paul Hefner, a spokesman

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for Assembly Speaker Robert Hertzberg, D-Sherman Oaks.
Under the plan, electricity for small users -- some residential and small-business customers -- would come from the cheapest sources -- Edison's own power plants and renewable energy sources known as "qualifying facilities." Larger users would pay more because they would obtain power from the long-term contracts that have been signed by the state Department of Water Resources.
Ultimately, as the amount of electricity supplied by the long-term contracts declines over the course of several years and the overall supply increases, costs to large businesses are expected to decline as they buy more power on the open market, presumably at lower prices.
The plan envisions a portion of business and residential rates dedicated to reducing Edison's debt for at least the first year, with businesses picking up more of the burden in future years. Like the Senate plan, the state would have an option to buy transmission lines.

The Bee's Kevin Yamamura can be reached at (916) 326-5542 or kyamamura@sacbee.com <mailto:kyamamura@sacbee.com>.

No outcry to ease clean-air process
By Chris Bowman
Bee Staff Writer
(Published July 13, 2001)
The Bush administration did not receive much sympathy from California at a

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